

FX Daily: Global FX comes back from the brink

News of a two-week ceasefire in Iran has seen a sharp recovery in risk across all asset classes. Higher equities, bullish steepening of yield curves, and a broad recovery in currencies against the dollar look to be the short-term trend as investors assess whether this ceasefire can lead to more sustainable peace



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📉 USD: A welcome retreat

Risk assets are rallying as combatants in Iran pull back from the brink. The most impactful news overnight has been Iran's announcement that it will allow safe passage for traffic through the Strait of Hormuz during this ceasefire. Expect now a close monitoring of [traffic flow](#) through the Strait, where a significant pick-up in volume would weigh further on oil prices and reverse the stagflationary investment trends witnessed in markets over the last month. These trends had been dominated by the dramatic bearish flattening of yield curves, equity weakness and a stronger dollar.

Don't expect a complete reversal of March trends, however. A good example overnight is the Reserve Bank of New Zealand considering a pre-emptive rate hike in the face of an energy-driven spike in headline inflation. Here, the previously dovish RBNZ revised up its 2Q26 CPI forecast to 4.2% from 2.8%, stating that the outlook had 'materially altered' and signalling 'decisive and timely' increases in its policy rate should second-round inflation effects emerge. We suspect this

tough talk will be a template for many central banks through the second quarter – perhaps one of the reasons why the short-end of the yield curve does not entirely retrace the March sell-off.

In FX, March saw many currencies fall between 2-5% against the dollar. The New Zealand dollar has already retraced around 40% of its losses, and a 50% retracement looks a sensible and preliminary target for most currencies. That means high-beta commodity and emerging market currencies could witness a 2% recovery on the day (from recent lows), while the low-beta currencies could gain 0.5-1.0%.

The US data calendar is relatively light today, with only the FOMC minutes released tonight. On the subject of the Federal Reserve, [Philip Jefferson](#) was the latest member to say that monetary policy is 'well-positioned' for the current environment. Markets have now started to price back in Fed rate cuts towards the end of this year (-14bp priced for December), although pricing could prove quite sticky around unchanged rates.

DXR rallied just over 3% through March. It has gapped lower today, and a further sell-off to 98.50 looks possible. However, there remains too much uncertainty to expect a full unwind of the March rally, and it is therefore premature to call for a break under 98.00.

Chris Turner

📈 CEE: Currencies are running back to pre-conflict levels

Yesterday's [March inflation](#) in the Czech Republic showed a lower-than-expected figure of 1.9%, similar to Poland, but the details show an unpleasant increase in prices. Service prices accelerated again to 4.7%, back to January levels, and in our estimates, core inflation likely increased from 2.7% to 2.8% year-on-year. The Czech National Bank still has enough room to wait for further developments, but yesterday's figure was not the best news for the central bank.

Today, Hungary will publish its March inflation data. Here, we expect an increase from 1.4% to 2.2% YoY. Despite the government acting quickly to cap fuel prices, the impact will still be significant. The increase in the minimum wage will probably continue to put pressure on service prices, and the significant weakening of the forint will also push up imported inflation.

Markets, however, remain unimpressed by the data in the CEE region, and everything continues to be driven by geopolitical headlines. Headlines about the ceasefire overnight triggered a strong rebound in EM currencies, including those in the CEE region, and this is likely to continue after today's opening.

EUR/HUF is approaching 375 – levels seen before the start of the US-Iran conflict – and the forint is expected to be the main beneficiary as the market returns to pre-conflict and pre-election positioning. In turn, it shouldn't be a surprise if we get below 375 by the end of the week should the geopolitical situation persist. EUR/PLN and EUR/CZK have erased about half of their upward moves since the start of the conflict, and as lower-beta currencies within the region, they will probably need more time to recover to the pre-conflict levels of 4.220 and 24.250.

Frantisek Taborsky

📈 EUR: Reprieve

EUR/USD is enjoying a strong bounce on the ceasefire news. 1.1800 was its level before the start of

the conflict, and we doubt investors will want to immediately push it all the way back to that level now. Something like 1.1730/1750 could be the best case this week.

Eurozone data today includes PPI and retail sales readings for February. These look unlikely to move the market, and there is also little steer from European Central Bank speakers this week. More interest should emerge next week, with many ECB officials in Washington for the IMF meetings. Expect them to continue talking tough about the risk of a pre-emptive rate hike, although overnight developments will now present some breathing room.

Elsewhere, one might have thought EUR/GBP could be trading a little higher were Bank of England policy tightening to be priced out more quickly than that of the ECB. Still, EUR/GBP continues to trade over 0.8700 and should find good support on dips.

Chris Turner

CNY: Adult in the room

Not only did the People's Bank of China keep the renminbi supported during the March crisis, but it has also taken its first opportunity to encourage more renminbi strength by delivering a lower USD/CNY fix today. The onshore USD/CNY has gapped down to a new low below 6.83. Investors will be guessing whether the PBoC is looking for a stronger renminbi to support domestic demand or if it is positioning the renminbi as a more reliable long-term store of value as an alternative to the dollar.

Either way, the renminbi has shown strong credentials during the March crisis. Expect to see strong rallies in China-linked currencies like the South African rand, Brazilian real and Australian dollar today. The renminbi move also provides a tailwind for the recovery in Asian FX. The high-beta Korean won is in demand. Helpful has been Korea's record \$23bn monthly current account surplus. Should energy prices stay subdued, USD/KRW could make it back to the 1450/60 area.

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